

INTERNAL POLICY: Market Risk Management Framework

1. Scope

1. This policy governs the identification, measurement, monitoring, and control of market risk across all trading and banking book positions.

2. Value-at-Risk Limits

1. The institution shall calculate daily Value-at-Risk (VaR) using a 95% confidence interval and a 10-day holding period.

2. Stress testing of the trading portfolio shall be conducted on a quarterly basis to assess potential losses under adverse market conditions.

3. VaR models shall be backtested daily against actual P&L; outcomes to validate model accuracy.

3. Counterparty Credit Risk

1. Counterparty credit risk exposure shall be measured using Current Exposure Method (CEM) without application of a Credit Valuation Adjustment (CVA) capital charge.

2. Netting agreements shall be documented and legally reviewed annually to confirm enforceability.

4. Risk Limit Breach Escalation

1. Any breach of established risk limits must be reported to the Market Risk Committee within one business day.

2. Repeated breaches require a formal remediation plan approved by the CRO and Board Risk Committee.